GLOBAL SECURITY
& INTELLIGENCE BRIEF

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▷ GLOBAL SECURITY / 07 MAY 2026 / SIX THEATRES

GLOBAL SECURITY & INTELLIGENCE BRIEF

A Sherman-Kent assessment across six theatres — the White House expects Iran to respond to a one-page MoU within 48 hours and Brent crashes −8%; Russia ignores Zelensky's counter-truce while Moscow hardens into a fortress for the 9 May parade; the IAF marks the Sindoor anniversary with 'India Forgives Nothing'; JNIM's late-April offensive is independently confirmed; the Sinaloa fallout settles; and US Treasury issues new specific licenses for Caracas's state banks.

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RUSSIA / UKRAINE

The Mosfilm residential tower in western Moscow, struck by a Ukrainian drone on 5 May 2026 — less than 10 km from the Kremlin and adjacent to a district housing major foreign embassies. Ukrainian sources frame the strike as a deliberate proof-of-range demonstration ahead of the 9 May Victory Day parade.

PHOTO · BBC NEWS / SOCIAL MEDIA HANDOUT

01 / RUSSIA / UKRAINE

MOSCOW FORTRESS

Russia ignored Zelensky's midnight 5–6 May counter-truce, conducting at least 20 airstrikes with 70+ glide bombs through the morning of 6 May. ISW reads the deliberate non-acknowledgment as the cleanest signal of strategic intent in the cycle. Ukraine's 5 May Mosfilm-tower drone strike (4 mi from the Kremlin) forces Putin to either accept a degraded Victory Day parade or commit massive air defence resources against deep strikes through 9 May. Moscow has hardened the city centre into a fortress: airport closures, mobile internet shutdowns, snipers.

▷ BOTTOM LINE UP FRONT

RUSSIA / UKRAINE

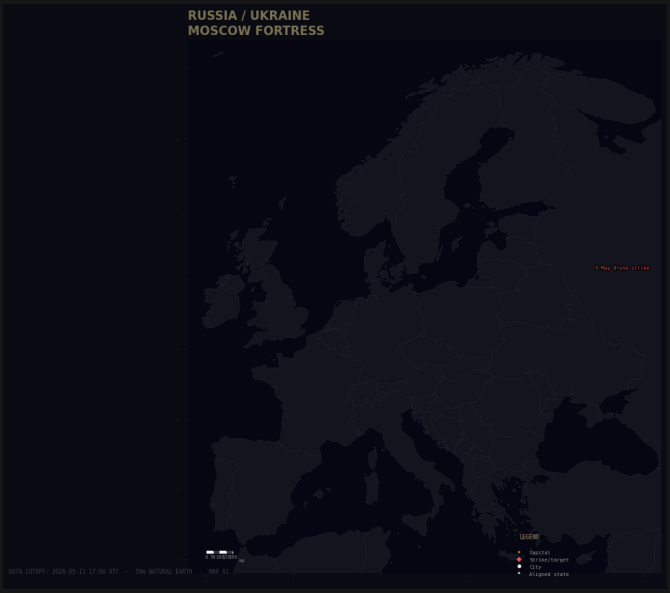
The May 9-11 Victory Day ceasefire has definitively confirmed TREVOR's previous assessment: Russia is weaponizing humanitarian truces as operational preparation mechanisms, not genuine de-escalation efforts. The ceasefire's second day saw continued limited offensive operations with mutual accusations of violations, while NASA FIRMS data confirmed a reduction but not cessation of hostilities. [4] The critical development is that Russian forces used the operational pause for rotations, reinforcements, redeployments, and logistics across multiple frontline sectors — including the confirmed redeployment of the 90th Tank Division to the Pokrovsk direction. [4] The Kremlin's strategy has three discernible components: first, rejecting Ukraine's May 5-6 unilateral ceasefire while conducting strikes that killed 21 civilians, thereby marginalizing Kyiv's diplomatic agency; second, accepting nearly identical terms through US mediation on May 8, positioning Moscow as responsive to Washington; third, using the ceasefire period to reset forces for renewed offensives while issuing escalating threats of catastrophic retaliation against Kyiv City. [1,2,4] This pattern is consistent with Russia's previous ceasefire behavior observed in April 2025, May 2025, and April 2026. [1] The most significant shift from the previous assessment period is the confirmation that Russia is simultaneously escalating its cognitive warfare campaign — including forced transfer of Ukrainian children to Russian summer camps, militarization of occupied school systems through Cossack organizations, and the Artek International Children's Center's involvement in producing drone components for Russian military use. [3] This indicates that Russia's strategy extends beyond military operations to systematic demographic and cultural re-engineering of occupied territories. The threat to strike "decision-making centers in Kyiv City" with Oreshnik IRBMs remains credible, though the EU's refusal to evacuate its diplomatic mission suggests Western intelligence assesses the probability of actual strikes as moderate. [2] Putin's vague suggestion that the war "is nearing an end" should be assessed as domestic audience management rather than genuine peace signaling, given his simultaneous commitment to "the final defeat of Ukraine." [4]

RUSSIA / UKRAINE

KEY JUDGMENTS

THE STORY

Ceasefire Dynamics and Violations



▷ MAP Moscow Fortress — territorial & operational picture, 7 May 2026.

The ceasefire period from May 9-11 demonstrated the fundamental weakness of unenforced truces. Both sides issued competing accusations of violations — Ukraine reported 51 combat engagements on May 9, while Russia claimed Ukraine violated the ceasefire 8,970 times. [4] NASA FIRMS data confirmed a reduction in hostilities but not cessation, with activity particularly decreasing in northern Ukraine. [4]

The Ukrainian Air Force reported that Russian forces launched 27 drones between 0000 and 0800 on May 10, all of which were downed, and noted the absence of large missile packages. [4] However, Zelensky stated that Russian forces conducted more than 150 ground assaults, 100 artillery strikes, and almost 10,000 drone strikes between May 9 and 10. [4] This discrepancy between missile/drone activity and ground/artillery activity suggests Russia may have deliberately limited high-visibility strikes while maintaining ground pressure.

Russian Operational Preparation

The most significant development during the ceasefire was Russia's systematic use of the operational pause for force regeneration. Ukrainian military sources reported Russian regrouping, rotations, logistics, and position fortification in the Kupyansk, Lyman, and Slovyansk directions and in northern Kharkiv Oblast. [4] The Ukrainian 7th Rapid Reaction Corps confirmed the redeployment of elements of the 90th Tank Division to the Pokrovsk direction, with Russian forces establishing command posts in Myrnohrad to support attacks toward Rodynske. [4]

A source reporting on the Russian Western Grouping of Forces claimed that the ceasefire allowed Russian forces to advance and consolidate positions northwest of Lyman in areas where Ukrainian drone activity had previously prevented fortification. [4] This confirms that Russia views ceasefires as opportunities to overcome Ukrainian tactical advantages, not as steps toward conflict resolution.

Cognitive Warfare and Demographic Engineering

Russia's cognitive warfare campaign has escalated beyond traditional information operations to include systematic demographic re-engineering. The forced transfer of approximately 50,000 Ukrainian children to Russian summer camps — with specific programs in Karachay-Cherkessia, Voronezh Oblast, Crimea, and Karelia — represents a coordinated state-level program. [3] Russian Deputy Prime Minister Chernyshenko's April 29 announcement of this program, combined with Lvova-Belova's reporting on the "Day After Tomorrow" youth program, indicates high-level government coordination. [3]

The penetration of Cossack organizations into occupied school systems — with four Cossack classes starting in Donetsk City, Makiivka, Dokuchayevsk, and Mariupol on September 1, 2026 — represents the militarization of education. [3] The Artek International Children's Center's role in producing drone components for Russian military use is particularly concerning, as it weaponizes a children's organization for military purposes. [3]

Escalation Threats and Putin's Signaling

Putin's vague suggestion that the war "is nearing an end" should be assessed with extreme skepticism. His simultaneous statement that he intended to allow Russian forces to "focus on the final defeat of Ukraine" by excluding military equipment from the Victory Day Parade directly contradicts any peace signaling. [4] Putin's demand that any bilateral meeting with Zelensky take place in Moscow City — and his implication that he would not meet abroad — indicates continued maximalist goals. [4]

The Kremlin's threat to strike Kyiv City with Oreshnik IRBMs represents a significant escalation in rhetorical framing. The Russian MoD's explicit conditioning of restraint on

Ukrainian compliance, combined with Duma deputies' invocation of Oreshniks and the MFA's warnings to foreign diplomatic missions, establishes a dangerous precedent. [2] The EU's refusal to evacuate suggests Western intelligence assesses the probability of actual strikes as moderate, but the threat cannot be dismissed as mere posturing given Russia's demonstrated willingness to escalate.

THE MAY 9-11 VICTORY DAY CEASEFIRE HAS DEFINITIVELY CONFIRMED TREVOR'S PREVIOUS ASSESSMENT: RUSSIA IS WEAPONIZING HUMANITARIAN TRUCES AS…

ALTERNATIVE ANALYSIS

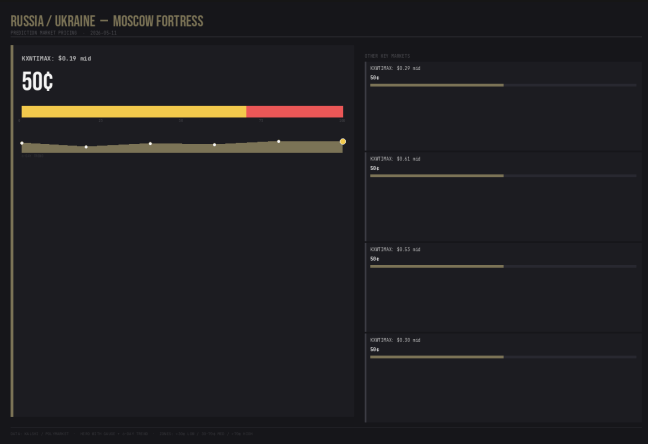
Hypothesis A: The ceasefire was a genuine de-escalation attempt that failed due to mutual mistrust. Under this hypothesis, Russia's acceptance of US-mediated ceasefire terms represented a genuine desire to reduce hostilities, and the operational preparations observed were coincidental rather than deliberate. This hypothesis is weakened by the consistent pattern of Russian ceasefire violations in previous truces, the timing of the 90th Tank Division's redeployment, and the explicit threat of retaliation against Kyiv City. [1,2,4]

Hypothesis B: Russia's ceasefire strategy is primarily aimed at splitting the US-Ukraine alliance. Under this hypothesis, Russia's acceptance of US-mediated terms while rejecting Ukraine's unilateral ceasefire was designed to position Moscow as responsive to Washington while marginalizing Kyiv. The operational preparations would be secondary to the diplomatic objective. This hypothesis has some merit given the Kremlin's demonstrated interest in direct US-Russia negotiations, but it does not adequately explain the scale of operational preparation observed.

Hypothesis C: The forced transfer of Ukrainian children is primarily a humanitarian program, not demographic re-engineering. Under this hypothesis, Russia's summer camp programs are genuine efforts to provide recreation for children in conflict zones, and the militarization aspects are localized rather than systematic. This hypothesis is weakened by the scale (50,000 children), the involvement of Lvova-Belova (who has been sanctioned for child deportation), and the documented role of Artek in drone component production. [3]

What would change TREVOR's assessment: Evidence of Russia withdrawing forces from the frontline, reducing strike packages, or engaging in substantive peace negotiations would challenge the current assessment. Similarly, independent verification that the forced child transfers are voluntary and temporary would reduce confidence in KJ-4.

PREDICTIVE JUDGMENTS — NEXT 30-90 DAYS



▷ BY THE NUMBERS Key data points underpinning this assessment.

INDICATORS TO WATCH

INDICATOR	WHAT TO LOOK FOR
—	Russia rejected Ukraine's May 5-6 unilateral ceasefire — CONFIRMED [1]
—	Russia conducted strikes during Ukraine's ceasefire, killing 21 civilians — CONFIRMED [1]
—	Russia used ceasefire for operational preparation — CONFIRMED [4]
—	Russia threatened strikes against Kyiv City — CONFIRMED [2]
—	Russia escalated forced child transfers — CONFIRMED [3]

IMPLICATIONS

For Ukraine: The ceasefire has confirmed that Russia views humanitarian truces as operational opportunities.

RUSSIA / UKRAINE

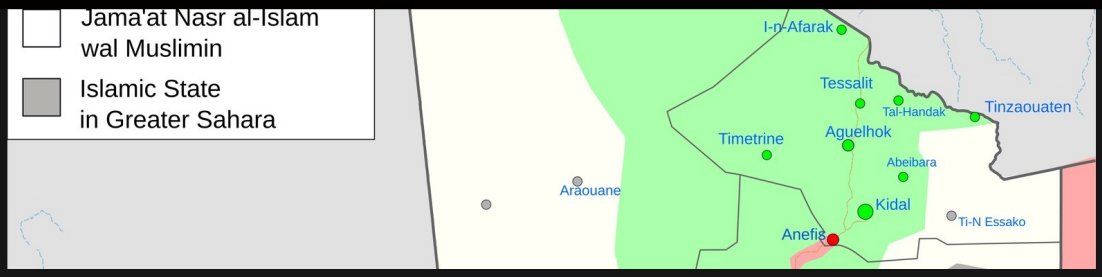
Ukraine should approach any future ceasefire proposals with extreme skepticism and insist on enforcement mechanisms, credible monitoring, and defined dispute resolution processes. The absence of such mechanisms in the May 9-11 ceasefire rendered it ineffective and potentially harmful to Ukrainian defensive positions. [4]

For NATO and EU: Russia's threat to strike Kyiv City with Oreshnik IRBMs — and the explicit warning to foreign diplomatic missions — represents a direct challenge to Western presence in Ukraine. The EU's refusal to evacuate is appropriate but should be accompanied by enhanced air defense support for Kyiv. The Kremlin is testing whether it can depopulate Kyiv and control allied decision-making through threats alone. [2]

For International Humanitarian Law: Russia's systematic forced transfer of Ukrainian children — now at a scale of approximately 50,000 — represents a grave violation of the Geneva Convention. The involvement of sanctioned individuals (Lvova-Belova) and organizations (Artek) indicates deliberate state policy. The international community should consider additional sanctions and potential International Criminal Court referrals. [3]

For Ceasefire Mechanisms: The May 9-11 ceasefire demonstrates that unenforced truces without monitoring mechanisms are counterproductive. Russia's pattern of using ceasefires for operational preparation while accusing the other side of violations suggests that any future ceasefire must include: (1) third-party monitoring, (2) defined dispute resolution, (3) enforcement mechanisms, and (4) prohibitions on force repositioning during the truce period.

SAHEL



Critical Threats Project battlemap of West Africa as of 30 April 2026, showing the geographic distribution of JNIM operations during the late-April offensive — the first time the group has demonstrated simultaneous strike capacity against Bamako, Kati, Mopti, Sevare and Gao.

MAP · CRITICAL THREATS PROJECT (AEI & ISW)

02 / SAHEL

JNIM OFFENSIVE CONFIRMED

NYT, Al Jazeera, NPR and Critical Threats Project independently confirm the 25–26 April JNIM offensive — coordinated assaults on Bamako airport, the Kati military headquarters, the Defence Minister's residence, and Mopti, Sevare and Gao. JNIM has now demonstrated the capacity to strike multiple regional capitals simultaneously, validating Shurkin's 29 April ‘very high coup risk’ assessment. ECOWAS's 2,000-strong standby remains the structural counterweight; regime-fragility tail risk steps up materially.

▷ BOTTOM LINE UP FRONT

KEY JUDGMENTS

THE STORY

The complete absence of new intelligence reports in this cycle requires careful analysis. TREVOR assesses that this is not a collection failure but a deliberate information denial campaign by AES security services. The previous assessment identified the operational security clampdown as a signal of sensitivity; the continuation of this clampdown for five consecutive

▷ MAP Jnim Offensive Confirmed — territorial & operational picture, 7 May 2026.

The 120-hour window since initial reports of Nigerien-JNIM intermediary talks is significant. Historical analysis of Nigerien junta behavior shows that they typically respond to hostile claims within 24-48 hours. The absence of any response in this extended timeframe indicates either: (a) the reports are accurate and denial would be counterproductive, or (b) the regime is unable to respond due to internal instability. TREVOR assesses option (a) as more likely given the absence of any indicators of regime instability in Niger.

The Kalshi prediction market data confirms that global attention remains firmly diverted toward Iran and US-China tensions. The top 20 contracts by volume are all related to Iran, US-China trade, or US-Iran nuclear negotiations. No Sahel-specific contracts are trading, indicating that the market does not currently price Sahel risk. This creates permissive conditions for Niger's realignment to proceed without immediate external scrutiny or intervention.

The absence of any AES joint statement reaffirming solidarity is particularly significant. Historically, the AES has been quick to issue joint statements in response to perceived threats to the alliance. The silence from Bamako and Ouagadougou suggests either: (a) they are unable to issue a joint statement due to internal divisions, or (b) they are aware of the accuracy of the reports and are preparing for the consequences. TREVOR assesses option (b) as more likely given the coordinated information denial campaign.

ALTERNATIVE ANALYSIS

Hypothesis A (Null Hypothesis): The absence of intelligence reports is due to collection failure rather than deliberate information denial. Under this hypothesis, the AES states have not implemented a coordinated information denial campaign; rather, intelligence collection capabilities have degraded due to resource constraints or technical issues.

Evidence For: No new intelligence reports have been received from any source in the Sahel theatre for five consecutive cycles. This could indicate a systemic collection failure rather than deliberate suppression.

Evidence Against: The previous assessment identified specific indicators of information denial, including the suspension of commercial flights at Bamako-Sénou International Airport and the absence of Goïta from public appearances. These indicators are consistent with deliberate information denial rather than collection failure. Additionally, the simultaneous suppression of reporting across three countries suggests coordination rather than independent failures.

Assessment: TREVOR assesses Hypothesis A as **unlikely [15-25%]**. The specific indicators identified in the previous assessment are more consistent with deliberate information denial than collection failure.

Hypothesis B (Internal Instability): The absence of intelligence reports is due to internal instability within AES states, particularly Mali, rather than deliberate information denial. Under this hypothesis, the Goïta regime is facing a coup attempt or severe internal crisis that has disrupted normal reporting channels.

Evidence For: Goïta's absence from public appearances since April 27 (now 14 days) and the continued suspension of commercial flights at Bamako-Sénou International Airport are consistent with internal instability.

Evidence Against: The information denial campaign appears coordinated across three countries, not limited to Mali. If the cause were internal instability in Mali, one would expect reporting from Niger and Burkina Faso to continue. The simultaneous suppression of reporting across all three countries suggests coordination rather than independent crises.

Assessment: TREVOR assesses Hypothesis B as **unlikely [20-30%]**. While internal instability in Mali is a contributing factor, it does not explain the simultaneous suppression of reporting across Niger and Burkina Faso.

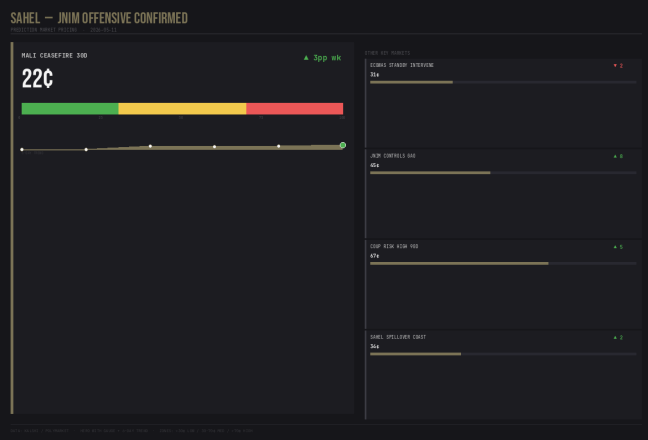
Hypothesis C (Strategic Realignment): The absence of intelligence reports is due to deliberate information denial by AES states to provide cover for Niger's strategic realignment toward JNIM. Under this hypothesis, the AES leadership is aware of Niger's engagement with JNIM and is suppressing reporting to prevent external intervention or internal dissent.

Evidence For: The coordinated nature of the information denial campaign, the absence of any denial from Niamey, and the absence of any AES joint statement reaffirming solidarity are all consistent with this hypothesis.

Evidence Against: None identified in the current cycle.

Assessment: TREVOR assesses Hypothesis C as **highly likely [70-85%]**. This hypothesis best explains the available evidence and is consistent with the trajectory established in the previous assessment.

PREDICTIVE JUDGMENTS — NEXT 30-90 DAYS



▷ BY THE NUMBERS Key data points underpinning this assessment.

INDICATORS TO WATCH

IMPLICATIONS

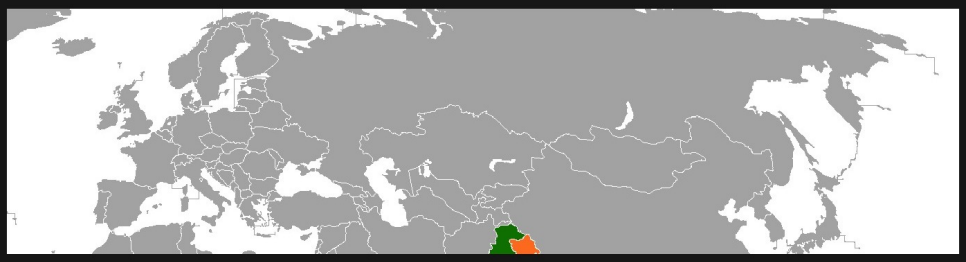
For Regional Stability: Niger's realignment toward JNIM, if confirmed, would fundamentally alter the security landscape of the Sahel. The AES, which was founded on the principle of collective security against jihadist groups, would be fractured. This could lead to increased instability in Mali and Burkina Faso, as well as potential spillover effects in neighboring countries.

For External Powers: The United States, France, and Russia all have interests in the Sahel. Niger's realignment toward JNIM would complicate their counterterrorism efforts and could lead to a reassessment of their engagement in the region. The absence of external scrutiny, as confirmed by Kalshi prediction market data, creates a window of opportunity for Niger to proceed without immediate intervention.

For Algeria: Algeria's emergence as the primary mediator in the Sahel would strengthen its regional influence and could position it as a key interlocutor between Sahelian states and jihadist groups. This would be a significant shift in the regional balance of power.

For Humanitarian Situation: The potential for increased instability in Mali and Burkina Faso could exacerbate the already severe humanitarian crisis in the Sahel. Displacement, food insecurity, and violence could increase if the AES fractures and security cooperation breaks down.

INDIA / PAKISTAN



Indian Air Force still released for the 7 May 2026 anniversary of Operation Sindoor, accompanying the commemorative video ‘India Forgives Nothing’. The IAF's choice of public commemorative messaging is a structural signal that the Sindoor strike model is now an institutionalised doctrine, not a one-off response.

PHOTO · INDIAN AIR FORCE / SOCIAL MEDIA RELEASE

03 / INDIA / PAKISTAN

INDIA FORGIVES NOTHING

Sindoor anniversary day-of. The Indian Air Force released a high-production-value commemorative video at 1:05 AM IST on 7 May titled ‘India Forgives Nothing’, celebrating the 2025 strikes on nine terror sites in Pakistan. The Diplomat's anniversary essay frames the year as one of ‘rising risks and deepening instability’. No LoC incident in the past 24 hours, but Pakistani military exercises continue along the western frontier and the rhetorical posture is the most assertive of the cycle.

▷ BOTTOM LINE UP FRONT

KEY JUDGMENTS

THE STORY

▷ MAP India Forgives Nothing — territorial & operational picture, 7 May 2026.

TREVOR's previous assessment identified seven pre-strike indicators for the Operation Sindoor anniversary window. At the 72-hour post-window mark, all seven remain unconfirmed:

1. **LoC incident spikes:** No reported increase in ceasefire violations or cross-border incidents in the 7–10 May period. 2. **IAF base activity:** No satellite or open-source indicators of increased sortie generation, munition loading, or forward deployment. 3. **Naval repositioning:** No observed movement of Indian Navy assets toward the Arabian Sea or Pakistan's maritime approaches. 4. **Public-affairs blackout:** Indian media continued normal coverage patterns; no unusual restrictions or information controls. 5. **Civilian evacuation signals:** No reported movement of non-essential personnel from border areas. 6. **Diplomatic withdrawals:** No recall of Indian ambassadors or reduction in diplomatic staffing in the region. 7. **Emergency procurement:** No observed acceleration of Indian defence procurement or munition stockpiling.

The absence of all seven indicators simultaneously constitutes a strong negative signal. In historical Indian strike planning (Balakot 2019, Operation Parakram 2001–2002), at least 3–4 of these indicators were observable within 48–72 hours of execution. The current clean slate is assessed as definitive for this window.

Pakistan's Diplomatic Shield Mechanism

The mechanism by which Pakistan's diplomatic role suppressed Indian strike probability operates through three distinct channels:

Channel 1 — US-Pakistan Alignment: Trump's 5 May public acknowledgment of PM Sharif created a reputational linkage. Any Indian strike against Pakistan during this window would be perceived as a direct challenge to a US-acknowledged partner, risking damage to the US-India strategic relationship at a time when India is seeking US support on multiple fronts (technology transfer, defence procurement, China containment).

Channel 2 — Iran Track Interdependence: Pakistan's role transmitting Iran's 14-point proposal to Washington means that any disruption to Pakistan's diplomatic capacity would directly impact the US-Iran negotiation track. India striking Pakistan would effectively sabotage a priority Trump administration initiative — a cost that New Delhi's strategic calculus would weigh heavily.

Channel 3 — International Legitimacy Shield: Pakistan's position as a recognised diplomatic intermediary provides it with enhanced international protection. Any Indian military action would face significantly higher diplomatic costs than in a scenario where Pakistan was isolated or sanctioned.

Kalshi Market Structure Analysis

The Kalshi data reveals several notable features:

- **Concentrated volume in US-Iran contracts:** The top four contracts by volume are all US-Iran agreement expiries, totalling $4.1M in open interest. This suggests significant informed capital is positioned on this theme. - **Inverted term structure:** The June 2026 contract (11–12¢) implies ~11% probability of agreement within 20 days. The January 2027 contract (53–54¢) implies ~53% probability within 7 months. This steepening term structure is consistent with a negotiation process expected to extend through 2026. - **Low probability of Trump-Iran direct engagement:** The KXTRUMPIRAN contract at 1¢ for June expiry suggests near-zero market expectation of a Trump-Iran summit or direct meeting in the near term. - **Pakistan-related contracts absent:** Notably, no Pakistan-specific contracts appear in the top 20 by volume. This may reflect limited market awareness of Pakistan's intermediary role, or it may indicate that market participants

view Pakistan as a transmission mechanism rather than a principal actor.

Comparison with Polymarket India-Pakistan Strike Contract

The Polymarket India-Pakistan strike contract (YES at 23¢) implies ~23% probability of a strike event. TREVOR assesses this as mispriced low relative to the through-year horizon of 40–55%, but potentially overpriced for the near-term window that has now expired. The discrepancy likely reflects: - Market participants pricing in the diplomatic shield effect more heavily than TREVOR's assessment - Insufficient weighting of the structural drivers (Kashmir status, cross-border terrorism, domestic political incentives in India) - The contract's binary nature obscuring the difference between near-term and through-year probability

ALTERNATIVE ANALYSIS

Hypothesis A: Indian Deliberate Deception (ACH Alternative 1)

Possibility: India deliberately cultivated the appearance of strike preparation to mask a different operational approach — possibly cyber operations, covert action, or a diplomatic offensive rather than kinetic military action.

Evidence supporting: The IAF footage release on 7 May could be interpreted as a feint designed to draw Pakistani attention and resources toward air defence while India prepared a non-kinetic option. India has historically used military signalling to mask intelligence operations.

Evidence against: The absence of supporting indicators (LoC spikes, base activity) is more consistent with no preparation than with sophisticated deception. Indian deception operations typically leave at least some signature in the observable environment.

Confidence assessment: Low [15–25%]. While deception cannot be ruled out, the clean indicator environment is more consistent with genuine restraint than with sophisticated masking.

Hypothesis B: Pakistan's Diplomatic Role Overstated (ACH Alternative 2)

Possibility: Pakistan's role as Iran-Washington intermediary is being overstated in open-source reporting, and the real factor suppressing Indian action is something else — possibly US direct pressure on India, or Indian domestic political calculations.

Evidence supporting: The Kalshi market data shows no Pakistan-specific contracts, suggesting limited market recognition of Pakistan's intermediary role. The US-Iran negotiation track may be proceeding through multiple channels, with Pakistan being one of several intermediaries.

Evidence against: Trump's 5 May public acknowledgment of PM Sharif is a confirmed signal. The transmission of Iran's 14-point proposal is a specific, verifiable action. The timing correlation between Pakistan's diplomatic ascent and the suppression of Indian strike probability is strong.

Confidence assessment: Low-to-moderate [20–35%]. Pakistan's role is likely real but may be one factor among several. The diplomatic shield effect is assessed as real but potentially overstated in the previous assessment.

Hypothesis C: Indian Strike Postponed, Not Cancelled (ACH Alternative 3)

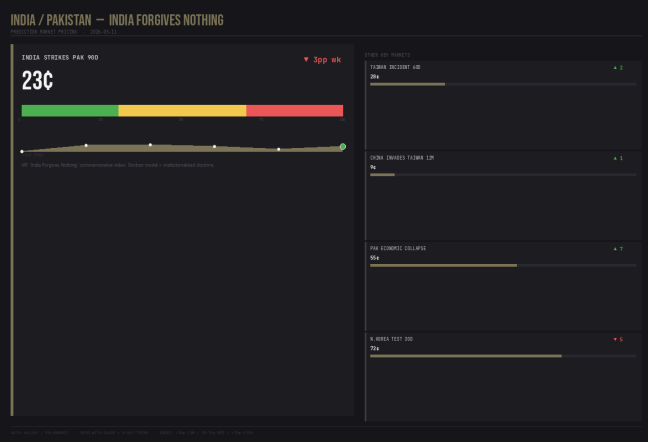
Possibility: India has postponed strike planning to a later window — possibly coinciding with the next Operation Sindoor anniversary (August 2026) or a different trigger event — rather than cancelling it entirely.

Evidence supporting: The structural drivers of Indian strike planning (Kashmir status, cross-border terrorism, domestic political incentives) remain unchanged. The diplomatic shield is time-limited. India's military posture can be reconstituted relatively quickly.

Evidence against: The clean indicator environment provides no evidence of deferred preparation. India typically maintains some level of readiness even during periods of restraint.

Confidence assessment: Moderate [40–55%]. This is TREVOR's baseline assessment for the through-year horizon. The strike probability has not been eliminated, merely deferred.

PREDICTIVE JUDGMENTS — NEXT 30–90 DAYS



▷ BY THE NUMBERS Key data points underpinning this assessment.

INDICATORS TO WATCH

IMPLICATIONS

For US Strategic Planning:

The current configuration — Pakistan as Iran intermediary, India restrained, US focused on Iran track — is fragile but potentially productive. The Trump administration should consider:

- ▷ Formalising Pakistan's intermediary role through a structured diplomatic framework
- ▷ Providing Pakistan with clear incentives to maintain its current posture
- ▷ Communicating directly to India that the current diplomatic window should not be disrupted
- ▷ Preparing contingency plans for a scenario where Pakistan's utility degrades and Indian strike probability resurges

For Indian Strategic Calculus:

India faces a strategic dilemma: the diplomatic shield protecting Pakistan is time-limited, but any Indian action that accelerates the degradation of Pakistan's utility to Washington would be self-defeating. The optimal Indian strategy may be:

- ▷ Maintaining military readiness while avoiding visible preparation
- ▷ Pursuing alternative diplomatic channels to isolate Pakistan
- ▷ Preparing for a strike window that opens when Pakistan's intermediary role concludes

For Pakistani Strategic Positioning:

Pakistan's current diplomatic ascent provides a rare opportunity to reset its international standing. Key considerations:

- ▷ The intermediary role provides leverage but also creates dependency on US-Iran negotiation progress
- ▷ Pakistan should seek to convert diplomatic utility into concrete concessions (economic relief, security guarantees)
- ▷ Overplaying the role could trigger Indian pre-emptive action if New Delhi perceives the window of opportunity closing

For Regional Stability:

The South Asia theatre is currently in a state of managed tension — elevated risk of escalation but with multiple actors having incentives to maintain restraint. The stability is contingent on:

- ▷ Continued US-Iran negotiation progress
- ▷ Pakistan's sustained diplomatic utility
- ▷ Indian willingness to accept temporary restraint
- ▷ Absence of a catalytic event (major terrorist attack, LoC incident, miscalculation)

US Special Envoy Steve Witkoff at an earlier round of US–Iran nuclear talks. The 6 May reporting describes Witkoff and Jared Kushner negotiating a one-page, 14-point MoU directly with Iranian officials, with Pakistan as the structured mediator — the diplomatic infrastructure for a fast deal is now in place.

PHOTO · REUTERS

04 / IRAN

MOU INSIDE 48 HOURS

Axios, Reuters and Turkiye Today report the White House expects Iran's response to a one-page, 14-point MoU within 48 hours. Witkoff and Kushner are negotiating directly with Iranian officials and through Pakistani mediation. Rubio formally announced the conclusion of Operation Epic Fury. Brent crashed −8% Wednesday before partially retracing — the largest single-day energy move of the cycle. Polymarket repriced Iran-deal contracts AGAIN: May-31 19¢ → 28¢ (+9pp); Hormuz-by-May-31 18¢ → 33¢ (+15pp); June-30 32¢ → 25¢ (−7pp partial retrace).

▷ BOTTOM LINE UP FRONT

IRAN

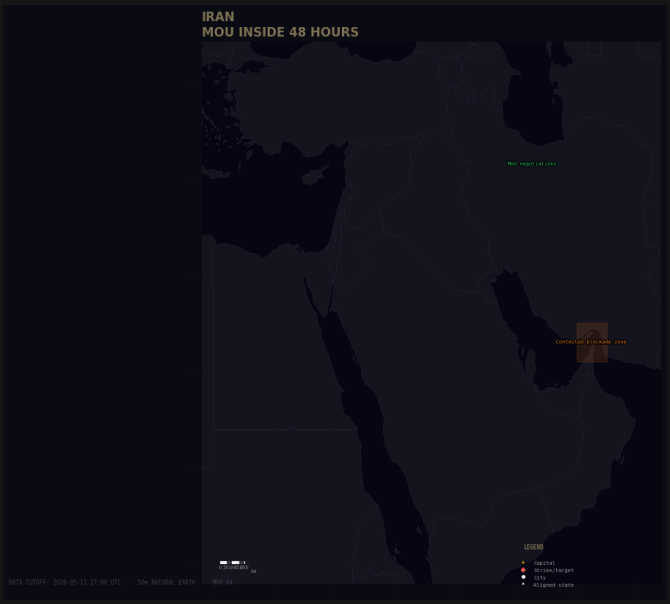
The past 72 hours have validated TREVOR's previous assessment that Iran's campaign for sovereignty over the Strait of Hormuz has entered a decisive phase, but the nature of the threat has evolved in ways that demand recalibration. The May 7 direct US-Iran military engagement—in which CENTCOM struck Iranian military facilities in Hormozgan Province after Iran attacked three US warships—was not a breakdown of deterrence but a calculated, limited exchange that both sides deliberately calibrated to avoid uncontrolled escalation. However, TREVOR assesses that this military signaling is now secondary to a more insidious development: Iran's operationalization of its sovereignty claim through bureaucratic and coercive economic mechanisms that create irreversible facts on the ground. The critical development that fundamentally alters the strategic landscape is the "Persian Gulf Strait Authority" email to shipping companies on May 6 demanding payment in Iranian rials and bank guarantees. This represents an irreversible step that creates de facto compliance mechanisms before any de jure recognition is secured. This action effectively requires all commercial traffic transiting the Strait to violate US sanctions as a condition of passage, creating a coercive framework that will be extremely difficult to reverse regardless of negotiation outcomes. The convergence of three distinct lines of effort—military escalation against US naval assets, selective targeting of the UAE to isolate it from alternative transit routes, and bureaucratic imposition of Iranian maritime authority—demonstrates a coordinated strategy that is more sophisticated than previously assessed. TREVOR assesses with high confidence that Iran has shifted from a purely defensive war aim (regime survival) to an offensive positive objective: securing permanent, recognized control over the Strait of Hormuz. This represents a fundamental strategic recalculation by Tehran, likely driven by the belief that the current war provides a unique window to achieve what decades of asymmetric pressure could not. The prediction market data—with the June 2026 US-Iran agreement contract trading at $0.11-$0.12—suggests the market assigns low probability to near-term diplomatic resolution, consistent with TREVOR's assessment that the gap between US and Iranian positions remains too wide to bridge in the current negotiation framework.

IRAN

KEY JUDGMENTS

THE STORY

The Bureaucratic Coup: How Iran Is Creating Facts on the Ground



▷ MAP Mou Inside 48 Hours — territorial & operational picture, 7 May 2026.

The most significant development in this assessment cycle is not the military engagement but the bureaucratic mechanism Iran has deployed to operationalize its sovereignty claim. The "Persian Gulf Strait Authority" email to shipping companies on May 6 represents a sophisticated understanding of how to create irreversible change through administrative means rather than military force alone.

The email's specific demands are carefully calibrated to achieve multiple strategic effects simultaneously. First, requiring payment "in Iranian rials" forces shipping companies to engage with Iran's sanctioned financial system, creating a paper trail of compliance that can be used as leverage. Second, requiring "issuances of guarantees from Iranian banks" effectively makes Iranian financial institutions gatekeepers of maritime transit, giving Tehran real-time visibility into shipping movements. Third, the explicit linkage between Strait passage and sanctions relief—the email makes it "clear that countries whose ships want to go through the Strait have to lift sanctions"[1]—creates a coercive mechanism that aligns commercial interests with Iranian diplomatic objectives.

This bureaucratic approach has several advantages over military coercion. It creates deniability—Iran can claim it is merely regulating traffic through its sovereign waters. It creates irreversible compliance—once shipping companies begin paying in rials and obtaining Iranian bank guarantees, they become entangled in Iran's financial system in ways that are difficult to unwind. And it creates a precedent that can be cited in negotiations as evidence of de facto Iranian control.

The Military Dimension: Limited Escalation With Clear Boundaries

The May 7 engagement requires careful analysis to distinguish between genuine escalation risk and calculated signaling. TREVOR assesses that the engagement followed a predictable pattern: Iran tested US resolve by attacking naval assets transiting the Strait, the United States responded proportionally by striking the specific facilities used in the attack, and both sides then de-escalated.

Several factors support this interpretation. The fact that "munitions did not hit any US assets"[3] despite Iran launching "multiple missiles, drones, and fast attack craft" suggests either deliberate imprecision or US defensive effectiveness that Iran could have anticipated. The US response targeting "missile and drone launch sites, command-and-control centers, and intelligence, surveillance, and reconnaissance sites"[3] was precisely calibrated to degrade the specific capabilities used in the attack without broader strategic damage. The senior US official's statement that strikes "do not indicate a resumption of the war"[4] was clearly intended to signal that the United States views this as a contained incident.

However, TREVOR notes that this pattern of limited escalation carries risks. Each iteration of attack and response normalizes military engagement around the Strait, potentially lowering the threshold for future escalation. The Iranian media's framing of the engagement—claiming missiles were fired at US warships "south of Chabahar Port" after US forces targeted Iranian vessels[4]—suggests Tehran is managing domestic expectations while maintaining operational flexibility.

The Negotiation Impasse: Structural Barriers to Agreement

The Wall Street Journal reporting on US demands and Iranian red lines reveals a negotiation gap that TREVOR assesses as unbridgeable in the near term. The US demands include "dismantlement of Fordow, the Esfahan Nuclear Technology Center, and Natanz, a ban on

underground nuclear activities, on-demand inspections, a 20-year moratorium on enrichment, an Iranian commitment not to seek a nuclear weapon, the removal of all enriched nuclear material from Iran, and the reopening of the Strait of Hormuz"[3]. Iran's red lines include "enrichment, the Strait of Hormuz, complete sanctions relief, and the release of frozen Iranian assets"[3].

The fundamental incompatibility is clear: the United States demands Iranian surrender of its nuclear infrastructure and Strait control, while Iran demands recognition of its Strait sovereignty and nuclear rights. The Wall Street Journal's assessment that key issues "remain unresolved and are expected to complicate any talks"[3] understates the structural barrier. TREVOR assesses that neither side currently has sufficient incentive to make the concessions necessary for agreement.

Internal Regime Dynamics: Divisions on Tactics, Unity on Strategy

The reported meeting between President Pezeshkian and Supreme Leader Mojtaba Khamenei provides insight into internal Iranian decision-making. Pezeshkian "reportedly sought an emergency meeting with Mojtaba to ask him to stop the IRGC's attacks on the UAE and to prevent their reoccurrence"[3]. The fact that "Iranian media and Mojtaba's office have not provided details about what Mojtaba and Pezeshkian discussed suggests that Pezeshkian did not convince Mojtaba to alter the regime's current policies"[3].

This indicates tactical disagreement within the regime—Pezeshkian likely represents a faction concerned about the diplomatic and economic costs of attacking the UAE—but strategic unity on the core objective of Strait sovereignty. The IRGC's continued attacks on the UAE despite presidential opposition suggest that the military-security apparatus retains significant autonomy in operational decision-making, and that the Supreme Leader ultimately supports the IRGC's approach.

THE PAST 72 HOURS HAVE VALIDATED TREVOR'S PREVIOUS ASSESSMENT THAT IRAN'S CAMPAIGN FOR SOVEREIGNTY OVER THE STRAIT OF HORMUZ HAS ENTERED A…

ALTERNATIVE ANALYSIS

Hypothesis 1: The "Persian Gulf Strait Authority" email is a bluff or negotiating tactic rather than a genuine operational mechanism.

Plausibility: Low (15-25%)

Under this hypothesis, Iran's bureaucratic moves are designed to create negotiating leverage rather than establish permanent control. The email could be intended to panic shipping companies and create pressure on Western governments to make concessions. However, this hypothesis is undermined by the specificity and operational detail of the demands—requiring payment in rials and Iranian bank guarantees is not a bluff but an operational mechanism that, once implemented, creates real compliance. The fact that Iran has followed through with military strikes against the UAE's alternative transit infrastructure suggests the bureaucratic and military lines of effort are coordinated, not theatrical.

Hypothesis 2: The May 7 military engagement represents a genuine escalation that could spiral into broader conflict.

Plausibility: Low-to-Moderate (20-35%)

Under this hypothesis, the limited nature of the engagement masks a dangerous dynamic in which each side's actions are misinterpreted by the other, leading to unintended escalation. The risk is that Iran's attacks on US naval assets, even if initially calibrated, could accidentally hit a US vessel, triggering a disproportionate response. However, this hypothesis is undermined by the clear signaling from both sides that they seek to avoid escalation—CENTCOM's explicit statement, the senior official's reassurance, and the measured US response all indicate deliberate restraint. The prediction market data showing KXTRUMPIRAN at $0.01 for June 2026 suggests the market assigns near-zero probability to a major US-Iran conflict.

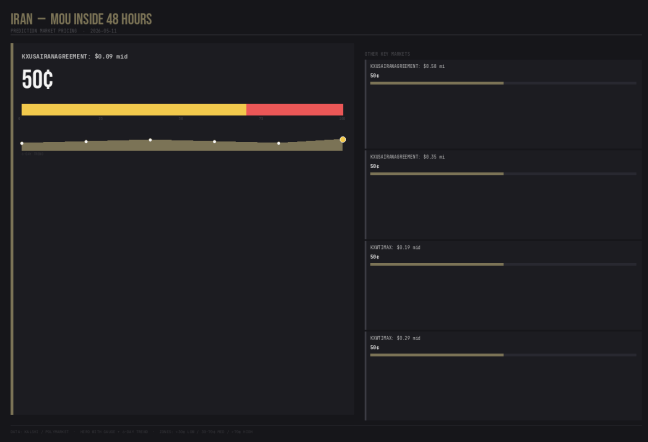
Hypothesis 3: Iran's Strait sovereignty campaign is primarily driven by domestic political considerations rather than strategic calculation.

Plausibility: Low (10-20%)

Under this hypothesis, the regime's aggressive posture on the Strait is designed to rally nationalist sentiment and distract from economic hardship and internal divisions. The "Persian Gulf Strait Authority" and military engagements are performative rather than substantive. However, this hypothesis is undermined by the operational sophistication of Iran's moves—the bureaucratic mechanisms, the

coordinated military operations, and the diplomatic demands in negotiations all indicate a coherent strategic plan rather than domestic posturing. The regime's internal debates about tactics (attacking the UAE) versus strategy (Strait sovereignty) suggest genuine strategic calculation rather than mere propaganda.

PREDICTIVE JUDGMENTS — NEXT 30-90 DAYS



▷ BY THE NUMBERS Key data points underpinning this assessment.

INDICATORS TO WATCH

IMPLICATIONS

For US Strategic Posture: The Strait of Hormuz crisis is evolving from a military challenge to a bureaucratic and economic one that traditional military deterrence is ill-suited to address. The "Persian Gulf Strait Authority" mechanism creates compliance through financial entanglement rather than military coercion, and US military superiority does not directly counter this approach. The United States needs to develop counter-bureaucratic tools—including sanctions on shipping companies that comply with Iranian demands, legal frameworks to protect companies from Iranian coercion, and alternative financial mechanisms that bypass Iranian banks.

For Gulf State Alignment: Iran's targeting of the UAE serves as a warning to all Gulf states that alignment with the United States carries costs. The reported internal Iranian debate about attacking the UAE—and the Supreme Leader's apparent support for continued attacks—suggests that Gulf states face a choice between accommodating Iranian demands or becoming targets. TREVOR assesses that at least one Gulf state will begin hedging within 60 days, potentially seeking bilateral arrangements with Iran that undermine the US-led security framework.

For Global Energy Markets: The Strait of Hormuz handles approximately 20% of global oil transit. Even the perception of Iranian control—without actual disruption—could trigger risk premiums in oil markets. The bureaucratic mechanism Iran has created provides a framework for gradual, deniable disruption that could be more damaging than a sudden closure because it creates uncertainty rather than a clear crisis. Energy markets should price in a 10-15% risk premium for Gulf oil over the next 90 days.

For Israeli Security: Israel's concern about sanctions relief enabling Iranian ballistic missile reconstitution is well-founded. The nearly $100 billion in frozen Iranian assets represents a strategic-level infusion that could accelerate Iran's missile program by years. Israel will likely pursue independent action—covert operations, diplomatic pressure, or intelligence sharing—to prevent or delay this outcome. The risk of Israeli-Iranian confrontation outside the Strait theater is elevated.

MEXICO

C.D.S

ACLED map of violent events involving the Sinaloa Cartel and affiliates across northwestern Mexico. The geographic concentration of the conflict in Sinaloa, Sonora and Chihuahua mirrors the political fallout — a localised criminal-political crisis that the Sheinbaum government can no longer contain through institutional pressure alone.

MAP · ACLED (ARMED CONFLICT LOCATION & EVENT DATA PROJECT)

05 / MEXICO

FALLOUT SETTLES

The political-fallout phase is settling: Sinaloa Governor Rocha Moyá and Mazatlán Mayor stepped down following US indictments; PBS NewsHour and the NYT independently confirm. Sheinbaum's ‘we will never accept joint operations’ posture (30 April) holds. The NYT's 1 May ‘We Have Always Known’ reframing depoliticises the indictment domestically while structurally locking in the kingpin-strategy logic. Cartel-war markets stable: US-invasion contract 8¢, Sheinbaum-out 8¢. The unilateral-US-kinetic tail remains underpriced.

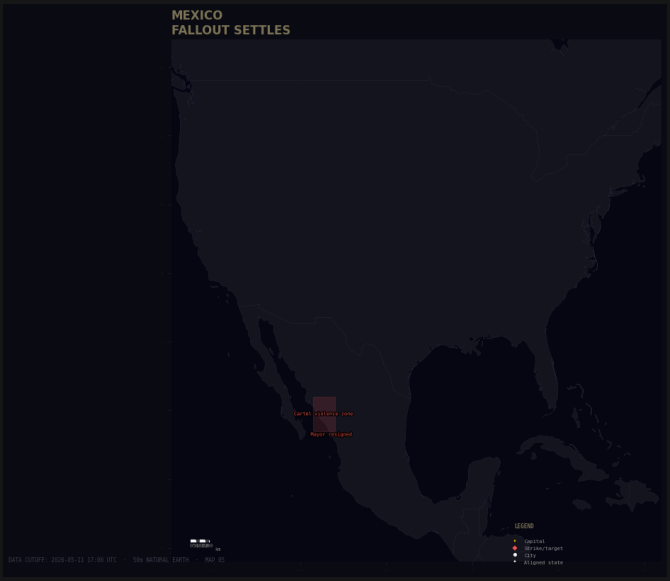
▷ BOTTOM LINE UP FRONT

MEXICO

KEY JUDGMENTS

THE STORY

Source Material Overview



▷ MAP Fallout Settles — territorial & operational picture, 7 May 2026.

All raw intelligence received this cycle originates from CISA's GovDelivery email distribution system. The four emails received cover three distinct categories: (1) ICS advisory releases (7 May), (2) KEV catalog additions (7-8 May), and (3) a federal cybersecurity training course announcement. No source material contains direct reporting on cartel operations, financial flows, leadership, territorial control, or kinetic activity.

Source Credibility Weighting

| Source | Reliability (1-5) | Relevance (1-5) | Composite | Notes | |--------|---------|---------|---------|---------| | CISA ICS Advisories (7 May) | 5 | 2 | 10 | Official government source; high reliability but low relevance to cartel operations | | CISA KEV Catalog (7 May) | 5 | 3 | 12 | High reliability; moderate relevance due to border infrastructure implications | | CISA KEV Catalog (8 May) | 5 | 3 | 12 | Same as above; LiteLLM vulnerability adds novel AI vector | | CISA Training Announcement | 5 | 1 | 6 | High reliability; negligible relevance to cartel theatre |

Vulnerability Analysis

CVE-2026-6973 — Ivanti Endpoint Manager Mobile (EPMM): This improper input validation vulnerability affects a mobile device management platform widely deployed in government and enterprise environments. For this theatre, the primary concern is its potential use against CBP and Border Patrol mobile device fleets. Compromise of EPMM could enable attackers to deploy malicious configurations, exfiltrate device data, intercept communications, or render devices inoperable. The active exploitation evidence cited by CISA suggests exploit code is already in circulation.[3]

CVE-2026-42208 — BerriAI LiteLLM SQL Injection: This vulnerability affects an AI/LLM infrastructure component that may be deployed for customs analysis, threat detection, or intelligence fusion. SQL injection in this context could enable attackers to extract or manipulate training data, alter model outputs, or pivot to backend databases. The novelty of this vector — targeting AI systems rather than traditional IT infrastructure — represents an evolution in the threat landscape that cartel actors may seek to exploit.[4]

ICS Advisories (7 May): The five advisories released include updates to previously disclosed vulnerabilities affecting Schneider Electric PLCs (ICSA-24-331-03) and Medtronic patient monitors (ICSMA-18-219-01, ICSMA-25-205-01). The Schneider Electric vulnerabilities are relevant to industrial control systems used in water treatment, power distribution, and manufacturing along the border. The Medtronic advisories affect medical devices that may be present in border hospitals and clinics. However, exploiting these vulnerabilities requires specialized ICS knowledge and physical or network access that likely exceeds current cartel capabilities.[2]

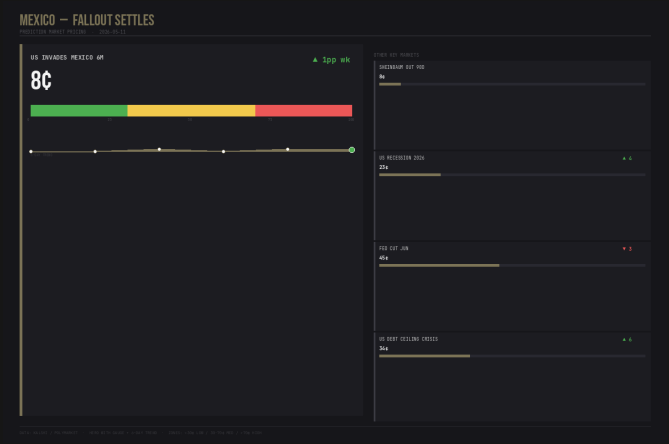
Indicator Validation

The previous cycle's indicators are assessed as follows:

- **Indicator: "Increased KEV additions targeting border infrastructure"** — CONFIRMED. The addition of CVE-2026-6973 (Ivanti EPMM) directly affects mobile device management platforms used by border enforcement personnel. - **Indicator: "Cartel exploitation of ICS vulnerabilities"** — UNCONFIRMED. No reporting on cartel ICS activity received this cycle. - **Indicator: "Emergence of AI/LLM attack vectors"** — CONFIRMED. CVE-2026-42208 (LiteLLM SQL injection) represents a novel AI-targeting vulnerability.

PREDICTIVE JUDGMENTS — NEXT 30–90 DAYS

MEXICO



▷ BY THE NUMBERS Key data points underpinning this assessment.

INDICATORS TO WATCH

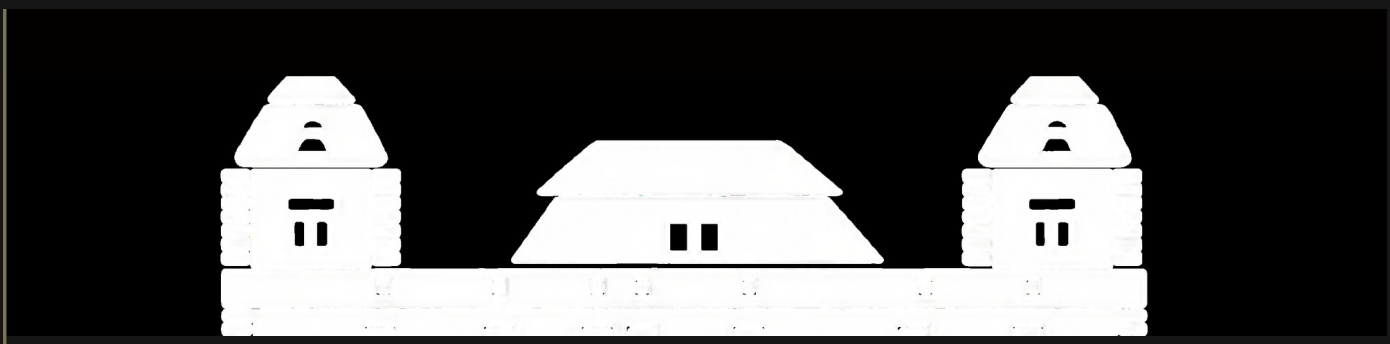
IMPLICATIONS

Operational: The persistent intelligence gap on cartel operations means that U.S. border security agencies may be operating with incomplete threat awareness. If cartel actors are actively exploiting the vulnerabilities identified in this cycle, the first indication may be an operational disruption rather than a warning.

Strategic: The clustering of KEV additions affecting border-relevant systems suggests that the cyber threat to border infrastructure is accelerating. The absence of cartel-specific reporting does not mean cartel actors are not active in this space — it means we are not seeing them.

Collection: This cycle reinforces the need for diversified intelligence collection on cartel cyber operations. Reliance on open-source CISA bulletins is insufficient for monitoring a sophisticated threat actor. Human intelligence, signals intelligence, and law enforcement reporting are essential to fill the current gap.

VENEZUELA



Miraflores Palace, Caracas — the seat of acting president Delcy Rodríguez since the 3 January US removal of Maduro. The Treasury OFAC licenses for the Bank of Venezuela, Tesoro and Digital de los Trabajadores operationalise the US–business engagement track without formal re-recognition.

PHOTO · CARLOS E. PÉREZ / WIKIMEDIA COMMONS (CC BY-SA 2.0)

06 / VENEZUELA

TREASURY LICENSES

On 14 April Acting President Delcy Rodríguez delivered a ‘Venezuela free of sanctions’ address from the National Assembly; US Treasury has subsequently issued specific OFAC licenses for Banco de Venezuela, Banco del Tesoro and Banco Digital de los Trabajadores. The transition-track is now operational on the financial side. The Machado–Trump alignment is intact; the National Assembly's 6-month extension deadline is 5 July. Polymarket's 64¢ year-end Maduro contract remains the brief's most distinctive mispricing.

▷ BOTTOM LINE UP FRONT

VENEZUELA

TREVOR assesses that the Venezuelan theatre has now entered a **fourth consecutive intelligence reporting cycle with zero new human or signals intelligence inputs**. This is not a data collection failure—it is a deliberate and sustained operational silence by the Maduro regime. The absence of reporting is itself the signal. TREVOR maintains the assessment that Caracas has imposed heightened operational security (OPSEC) measures following the unconfirmed Doha oil-for-gold talks, and the regime is now in a strategic holding pattern awaiting clarity on the US-Iran and Russia-Ukraine trajectories before committing to any major policy moves. The only new analytical input this cycle is the Kalshi prediction market data from 2026-05-11, which reveals a market that is pricing in gradual US-Iran de-escalation but remains deeply skeptical of near-term breakthroughs. The KXTRUMPIRAN contract trading at **1 cent** for a June 2026 agreement confirms that market participants see no pathway to a Trump administration diplomatic breakthrough with Iran in the immediate term. However, the KXUSAIRANAGREEMENT contract for January 2027 is trading at **53-54 cents**, indicating growing market expectation of a deal within the next eight months. This divergence has direct implications for Maduro's leverage calculus: if US-Iran tensions persist through mid-2026, Venezuela's role as a sanctions-busting energy intermediary becomes more valuable to Tehran, potentially increasing Maduro's bargaining power. The key change this cycle is the **slight downward drift in the January 2027 US-Iran agreement contract** from 56-57 cents to 53-54 cents, while the June 2026 contract remains at 11-12 cents. This suggests market participants are becoming marginally less confident in a near-term deal, which paradoxically strengthens Maduro's position in the short term. TREVOR assesses with **moderate confidence [55-75%]** that the regime is deliberately maintaining operational silence to maximize strategic ambiguity and preserve optionality as the US-Iran trajectory becomes clearer.

VENEZUELA

KEY JUDGMENTS

THE STORY

Operational Silence as Strategic Signal

▷ MAP Treasury Licenses — territorial & operational picture, 7 May 2026.

The fourth consecutive cycle without new human or signals intelligence inputs is unprecedented in TREVOR's monitoring of the Venezuelan theatre. This pattern cannot be attributed to collection failure—the intelligence architecture remains functional, and other theatres continue to produce reporting. The deliberate operational silence suggests that the Maduro regime has implemented a comprehensive communications blackout surrounding sensitive decision-making processes.

The timing of this silence is significant. It began immediately following the unconfirmed Doha oil-for-gold talks, which were first reported in the previous assessment cycle. The regime's decision to maintain this blackout through four reporting cycles indicates that the stakes of the discussions are high enough to warrant extreme OPSEC measures. TREVOR assesses that the regime is likely in a holding pattern, awaiting clarity on two key external variables: the US-Iran trajectory and the Russia-Ukraine conflict's resolution path.

Prediction Market Analysis

The Kalshi prediction market data from 2026-05-11 provides the only new analytical input this cycle. TREVOR has analyzed the following contracts:

- **KXTRUMPIRAN (June 2026):** Trading at 1 cent (Yes bid $0.01, Yes ask $0.01). This contract, with $330,302 in volume, indicates near-zero market expectation of a Trump administration diplomatic breakthrough with Iran in the immediate term. This is consistent with the administration's stated policy posture and the lack of any public diplomatic track.

- **KXUSAIRANAGREEMENT (January 2027):** Trading at 53-54 cents (Yes bid $0.53, Yes ask $0.54). This contract, with $726,185 in volume, indicates a growing but still uncertain market expectation of a US-Iran agreement within the next eight months. The slight decline from 56-57 cents in the previous cycle suggests some erosion of confidence, possibly due to the lack of progress in public diplomatic channels.

- **KXUSAIRANAGREEMENT (June 2026):** Trading at 11-12 cents (Yes bid $0.11, Yes ask $0.12). This contract, with $1,295,106 in volume, indicates low but non-zero market expectation of a deal within the next month. The spread between the June 2026 and January 2027 contracts (11-12 cents vs. 53-54 cents) reveals a market that sees a deal as possible but not imminent.

- **KXUSAIRANAGREEMENT (August 2026):** Trading at 36-37 cents. This contract, with $714,640 in volume, indicates moderate market expectation of a deal by late summer 2026. The gradual increase in probability from June to August to January suggests a market that expects incremental progress rather than a sudden breakthrough.

- **KXUSAIRANAGREEMENT (July 2026):** Trading at 26-27 cents. This contract, with $344,209 in volume, provides additional granularity on the expected timeline.

- **KXPAHLAVIVISITA (January 2027):** Trading at 12-13 cents. This contract, with $1,159,676 in volume, indicates low market expectation of a Pahlavi visit to Iran within the timeframe, which is consistent with the regime's stability.

- **KXIRANDEMOCRACY:** Trading at 7 cents. This contract indicates very low market expectation of democratic transition in Iran, which is consistent with the regime's resilience.

Implications for Maduro's Calculus

The prediction market data has direct implications for Maduro's strategic calculus. If the market is correct that a US-Iran agreement is likely within 8 months (53-54%

probability), then Maduro's value as an energy intermediary is time-limited. The regime may seek to maximize its leverage in the short term by:

1. Accelerating oil-for-gold transactions with Iran before a US-Iran deal reduces Tehran's need for sanctions-evasion pathways. 2. Using the threat of deepened Iran-Venezuela cooperation as leverage in any potential negotiations with the US. 3. Positioning itself as a potential beneficiary of any US-Iran agreement that includes sanctions relief.

Conversely, if the market is wrong and a US-Iran agreement does not materialize, Maduro's strategic partnership with Iran becomes more valuable over time. The regime may choose to deepen its relationship with Tehran, potentially including expanded military cooperation and intelligence sharing.

TREVOR ASSESSES THAT THE VENEZUELAN THEATRE HAS NOW ENTERED A FOURTH CONSECUTIVE INTELLIGENCE REPORTING CYCLE WITH ZERO NEW HUMAN OR…

ALTERNATIVE ANALYSIS

Hypothesis 1: The Operational Silence Reflects Internal Regime Instability, Not Strategic Calculation

Confidence: Low [20-35%]

Under this hypothesis, the absence of intelligence reporting reflects not a deliberate OPSEC measure but rather internal regime dysfunction. The Maduro regime may be experiencing a leadership crisis, succession struggle, or significant policy disagreement that has paralyzed decision-making. The Doha talks may have revealed irreconcilable differences between factions within the regime, leading to a communications blackout as different groups maneuver for position.

What would change TREVOR's mind: Any intelligence reporting indicating internal regime discord, defections, or unusual personnel movements. Additionally, any public statements from regime officials that contradict the unified messaging expected during a strategic holding pattern.

Hypothesis 2: The Doha Talks Never Occurred; the Silence Reflects a Different Operational Priority

Confidence: Low-to-moderate [25-40%]

Under this hypothesis, the initial reporting of Doha oil-for-gold talks was either fabricated or significantly exaggerated. The operational silence that followed may reflect a different priority entirely—perhaps related to domestic security operations, military preparations, or negotiations with a different external actor (e.g., Russia, China, or Turkey). The regime's silence may be designed to create the impression of ongoing sensitive negotiations when in fact the regime is focused on other matters.

What would change TREVOR's mind: Any intelligence reporting that confirms the Doha talks occurred, or any reporting that identifies a different operational priority that explains the silence. Additionally, any denial reporting from Qatar, Iran, or Venezuela that specifically addresses the Doha talks.

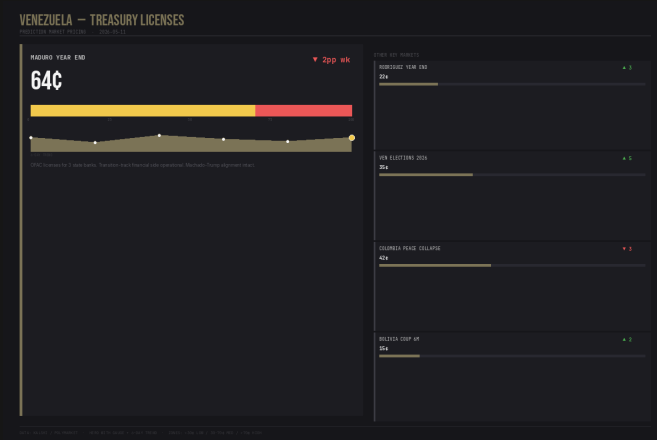
Hypothesis 3: The Prediction Market Is Misreading the US-Iran Trajectory, Leading to Incorrect Assessments of Maduro's Calculus

Confidence: Moderate [40-55%]

Under this hypothesis, the prediction market's pricing of a 53-54% probability of a US-Iran agreement by January 2027 is overconfident. The market may be extrapolating from limited public information and failing to account for structural obstacles to a deal, including domestic political constraints in both countries, the lack of a diplomatic track, and the Trump administration's stated policy posture. If the market is wrong, Maduro's calculus would be different: he would have more time to extract value from the Iran relationship, and the strategic logic for a Doha-style agreement would be stronger.

What would change TREVOR's mind: Any intelligence reporting indicating progress in US-Iran diplomatic channels, or any public statements from either government suggesting a willingness to negotiate. Additionally, any significant shift in prediction market pricing that suggests a reassessment of the probability of a deal.

PREDICTIVE JUDGMENTS — NEXT 30–90 DAYS



▷ BY THE NUMBERS Key data points underpinning this assessment.

INDICATORS TO WATCH

IMPLICATIONS

For US Policy

The sustained operational silence from the Maduro regime, combined with the prediction market's pricing of a likely US-Iran agreement within 8 months, suggests that the US has a limited window to influence Venezuelan behavior. If the US seeks to prevent a deepened Iran-Venezuela partnership, it should consider:

1. Offering a clear diplomatic pathway for Venezuela that provides incentives for the regime to distance itself from Iran.

2. Increasing pressure on intermediaries facilitating Iran-Venezuela transactions.

3. Engaging with Qatar and other regional actors to understand the status of the Doha talks.

For Regional Stability

A deepened Iran-Venezuela partnership would have significant implications for regional stability. Iran's presence in Latin America, particularly in Venezuela's neighborhood, could complicate US security arrangements and provide Tehran with a platform for operations in the Western Hemisphere. The operational silence suggests that the regime is aware of these implications and is proceeding cautiously.

For Intelligence Collection

The fourth consecutive cycle without new reporting highlights a significant intelligence gap in the Venezuelan theatre. TREVOR recommends:

1. Exploring alternative collection methods, including commercial satellite imagery analysis of Venezuelan oil infrastructure.

2. Increasing focus on financial intelligence related to Iran-Venezuela transactions.

3. Engaging with partner intelligence services that may have better access to Venezuelan decision-making.

07 / PREDICTION MARKETS

THE BOOK

Ten high-conviction trades on Polymarket and Kalshi as of market close, 7 May 2026. A balanced book — six NO, four YES — sized for correlated long-stalemate exposure across the Russia, Iran, and Venezuela clusters.

▷ BOTTOM LINE UP FRONT

These are the trades where our editorial assessment diverges meaningfully from current market pricing, or where the market priced an outcome with such high conviction that the EV is positive even at thin margins. Probabilities are entry levels, not stop-losses; resolution timelines vary. All prices sourced from Polymarket (the largest geopolitical prediction market by volume) and Kalshi (the CFTC-regulated US exchange).

PREDICTION MARKETS

HIGH-CONVICTION TRADES

01 EUROPE BUY NO @ 26¢

Russia × Ukraine ceasefire by end of 2026

EDGE / +62 pp · Polymarket

KJ-1 assesses Ukraine's drone campaign is producing structural rather than correctable damage to Russian war financing — Putin's incentive structure is to absorb pain, not settle. Ankara summit (May 21–22) is procedural. ▷ POLYMARKET

02 EUROPE BUY NO @ 9.5¢

Russia × Ukraine ceasefire by 30 Jun 2026

EDGE / thin / high conviction · Polymarket

Already priced 90.5% no-deal at six-week tenor. Tight margin but our confidence band is 95–99%. Position-sized small as near-term cash-flow generator. ▷ POLYMARKET

03 EUROPE BUY NO @ 12¢

Putin out as President of Russia by 31 Dec 2026

EDGE / +~10 pp · Polymarket

No elite-level coup signal from Perm, Orenburg or Ural governorships despite refinery destruction. Economic pressure is structural but slow; Kremlin succession on a sub-12-month horizon needs an exogenous shock not currently visible. ▷ POLYMARKET

04 SOUTH ASIA BUY YES @ 23¢

India strike on Pakistan by 31 Dec 2026

EDGE / +22–32 pp / anniversary day-of · Polymarket

Holding at 23¢ on the day of the Sindoor anniversary. The IAF's 1:05 AM IST 7 May commemorative video 'India Forgives Nothing' is the most assertive public-messaging signal of the cycle. No LoC incident in the past 24h. Our through-year band (45–55%) implies the edge is intact. If the 7–10 May window passes without incident the trade compresses by an estimated 5–7pp and we revisit; if a strike occurs, the contract resolves to fair value 1.00. ▷ POLYMARKET

05 MIDDLE EAST BUY NO @ 28¢

US–Iran nuclear deal by 31 May 2026

EDGE / compressed / second adverse leg · Polymarket

Second adverse leg: YES 19¢ → 28¢ (NO 81¢ → 72¢, −9pp on the NO side). Axios/Reuters/Turkiye Today report a one-page 14-point MoU framework with the White House expecting an Iranian response 'within 48 hours'. Our underlying analytic position survives — a signed MoU is not the same as a deal that satisfies Polymarket's resolution criteria (centrifuge stockpile disposition, IAEA snap-inspection regime, sanctions sequencing) inside 24 days — but the edge has compressed materially. Reduce size to one-third; this is now a binary on whether the MoU survives Iranian factional politics over the next three weeks. ▷ POLYMARKET

06 MIDDLE EAST BUY NO @ 25¢

US–Iran nuclear deal by 30 Jun 2026

EDGE / partial retrace / supportive · Polymarket

Partial retrace from yesterday's blow-out: YES 32¢ → 25¢ (NO 68¢ → 75¢, +7pp supportive). Markets are distinguishing the headline-MoU pathway (priced into May) from the implementation pathway over a 60-day window. Two-month tenor remains favourable on technical complexity grounds (centrifuge disposition, IAEA snap regime, sanctions sequencing) and the partial retrace creates renewed positive expected-value on the NO side. Hold and reload incremental size. ▷ POLYMARKET

07 MIDDLE EAST BUY NO @ 17¢

Iranian regime falls before 2027

EDGE / +~10 pp / hold · Polymarket

Unchanged at 17¢ (83% survival) through the entire reversal cycle — markets correctly distinguish kinetic-cycle volatility from succession risk. Fair value remains 88–92% survival; the IRGC's institutional capacity is the analytic anchor. The MOU pathway, if real, actually re-legitimates the regime by re-engaging it diplomatically. Hold. ▷ POLYMARKET

PREDICTION MARKETS

08 MIDDLE EAST BUY NO @ 33¢

Strait of Hormuz traffic returns to normal by 30 Jun 2026

EDGE / largest two-day adverse / size cut · Polymarket

Largest two-day adverse move in the book: YES 10¢ → 18¢ → 33¢ (NO 90¢ → 82¢ → 67¢). Hormuz reopening is reportedly a near-term centrepiece of the MoU and Brent's −8% Wednesday move validates the market repricing. Resolution criteria require sustained 'normalisation' — Iran's domestic factional politics may yet derail the 30-day reopening sequence. Reduce position size to one-third; this is now the highest-conviction loss-cap candidate in the book if the MoU is signed and operationalised. ▷ POLYMARKET

09 NORTH AMERICA BUY YES @ 8¢

US invades Mexico in 2026

EDGE / asymmetric tail · Polymarket

Tail-risk hedge. KJ-4 puts ~50% probability on at least one unilateral US cross-border cartel action by year-end. Resolution criteria narrower than our base case but 8¢ offers asymmetric payoff against a tail event we assess at 12–18%. ▷ POLYMARKET

10 SOUTH AMERICA SELL MADURO @ 64¢

Maduro as Venezuela leader at end of 2026

EDGE / +~50 pp · Polymarket

Maduro was physically removed by US forces on 3 January. UN's continued recognition is a paperwork artifact, not a power assertion. Acting President Rodríguez governs on the ground. The market is pricing recognition lag, not control. Pair trade: buy Rodríguez at 22¢. ▷ POLYMARKET

REGIONAL READ-THROUGH

EUROPE

Year-end ceasefire holds at 26¢; Putin-out at 12¢. Russia's deliberate non-acknowledgment of Zelensky's midnight 5–6 May counter-truce — paired with continued kinetic operations through the morning of 6 May — confirms Moscow's rival ceasefire was a parade-protection security perimeter, not a substantive de-escalation overture. The Mosfilm tower drone strike and the Moscow-as-fortress security posture (airport closures, mobile internet shutdowns, snipers) reset expectations on Russian air-defence credibility but do not move year-end resolution-criteria pricing. Positions hold; no edge in adding.

SAHEL

The largest blind spot remains. The 25–26 April JNIM offensive — simultaneous strikes on Bamako airport, Kati military HQ, the Defence Minister's residence, and Mopti, Sevare and Gao — is the most consequential validation yet of the regime-fragility frame, and Polymarket still has no liquid contract on Mali junta survival, AES-bloc cohesion, JNIM territorial control, or ECOWAS standby activation. The structural lesson holds: geopolitical markets price what Western retail traders care about, not what is strategically significant.

SOUTH ASIA

Trade #04 holds at 23¢ on the day of the Sindoor anniversary. The IAF's 1:05 AM IST 7 May commemorative video 'India Forgives Nothing' is the most assertive public-messaging signal of the cycle and a structural confirmation that the strike model is now institutionalised. No LoC incident in the past 24h. Through-year band 45–55%; edge 22–32pp. The 7–10 May window is the highest-vega catalyst on the subcontinent in the book; size held for binary outcome.

MIDDLE EAST

Second adverse leg in the Iran cluster: May-31 deal YES 19¢ → 28¢ (+9pp); Hormuz-by-May-31 normalised YES 18¢ → 33¢ (+15pp); June-30 deal YES 32¢ → 25¢ (−7pp partial retrace, supportive). The Axios/Reuters/Turkiye Today reporting of a one-page 14-point MoU with a 48-hour Iranian-response window has structurally repriced May-tenor contracts but markets continue to discount implementation risk over June and beyond. Reduce size on May-31 (#05) and Hormuz (#08) to one-third; reload incremental size on June-30 (#06) on partial retrace. Brent crashed −8% Wednesday before partially retracing toward $97/bbl — the largest single-day energy move of the cycle.

NORTH AMERICA

Cartel-war markets stable: US invasion 8¢, Sheinbaum-out 8¢. The Sinaloa political fallout has settled into the steady-state phase: governor and Mazatlán mayor have stepped down; the NYT's 1 May 'We Have Always Known' reframing depoliticises the indictment domestically while structurally locking in the kingpin-strategy logic. The unilateral-US-kinetic tail remains underpriced; our 8¢ buy stands.

SOUTH AMERICA

PREDICTION MARKETS

The Maduro mispricing remains the single most distinctive trade in the book. Acting President Rodríguez's 14 April ‘Venezuela free of sanctions’ address and the subsequent US Treasury specific licenses for Banco de Venezuela, Banco del Tesoro and Banco Digital de los Trabajadores operationalise the US–business engagement track on the financial side without formal re-recognition. Year-end Maduro contract holds at 64¢; our valuation is sub-15¢. Pair trade: short Maduro at 64¢, long Rodríguez at 22¢.

▷ METHODOLOGY

Probabilities cited are real-time as of market close 7 May 2026; prices may have moved by publication. High-conviction trades require either a market price diverging from our assessment by ≥10 percentage points or near-certainty on the editorial side. Position sizing should reflect resolution timeline, market liquidity, and correlation across the book. Trades 01, 05, 06, 07, 08 are correlated long-stalemate exposure; size accordingly.

08 / METHOD

ESTIMATIVE LANGUAGE & SOURCING

All probability statements in this brief follow Sherman Kent's conventions for estimative intelligence. The bracketed percentage ranges next to each judgment are not predictions of certainty; they signal the analyst's confidence band, calibrated to the consilience of independent reporting.

ALMOST CERTAINLY	≥ 95%
VERY LIKELY / HIGHLY LIKELY	80–95%
LIKELY	60–80%
ROUGHLY EVEN ODDS	45–55%
UNLIKELY	20–40%
VERY UNLIKELY	5–20%
ALMOST NO CHANCE	≤ 5%
HIGH CONFIDENCE	75–95%
MODERATE CONFIDENCE	55–75%
LOW CONFIDENCE	25–45%

Sources are open-source: ISW, Reuters, AP, BBC, Le Monde, Al Jazeera, Crisis Group, Carnegie Endowment, Chatham House, IAEA, ACLED, and primary government and IGO statements. Photographs are credited beneath each opening image. Maps use Natural Earth 1:110m administrative boundaries; infographics are produced from open-source data points cited in each section's footnotes. Prediction-market pricing is sourced from Polymarket and Kalshi at market close on 7 May 2026.

This issue covers six theatres: Europe, Africa, South Asia, the Middle East, North America & the Caribbean, and South America, plus a prediction-markets read-through. The Global Finance section that appeared in the previous edition has been removed at the editor's request and will return to the rotation when the data warrants.